

Olympiad Test Paper — Social Science (Class 7)

Chapter 11: From Barter to Money

Subject	Social Science (NCERT Class 7)
Chapter	11 — From Barter to Money
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · -1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Watch the classic traps: barter means goods-for-goods with NO money - the moment money is used it is no longer barter; money was invented AFTER barter to fix its problems; a note's value comes from trust and Reserve Bank backing, NOT from precious paper; modern coins and notes are FIAT money (valuable by law and trust, not precious metal); and UPI/cards/QR move the SAME rupees electronically - they are a new method, not a new currency. Do not write on this paper — mark answers on your answer sheet.

1. The 'barter system' is:

- (A) buying goods using coins and notes
- (B) paying for goods with a debit card
- (C) storing value in a bank account
- (D) exchanging goods or services for other goods or services, with no money involved

2. Which everyday example is true barter?

- (A) trading a pencil directly for an eraser
- (B) buying a pencil for 5 rupees
- (C) paying for an eraser by UPI
- (D) saving 5 rupees to buy a pencil later

3. The idea that 'any time you buy something it is barter' is wrong because barter:

- (A) specifically means exchanging goods for other goods, with NO money used
- (B) always involves money changing hands
- (C) only ever happens in modern shops
- (D) is the same thing as net banking

4. Before coins existed, which of these served as 'money' in barter-based societies?

- (A) debit cards and QR codes
- (B) cowrie shells, salt, cattle and cloth
- (C) printed bank notes
- (D) UPI transfers

5. The chapter notes that even giant stone discs were once used as:

- (A) writing tablets for laws
- (B) wheels for carts
- (C) weapons in war
- (D) a form of money

- 6.** 'Commodities' are:
- (A) products or goods that can be traded, bought and sold
 - (B) only coins made of gold
 - (C) only digital payments
 - (D) the study of old coins
- 7.** The Junbeel Mela is mentioned to show that:
- (A) barter has completely disappeared everywhere
 - (B) barter still survives today in some places, even in the age of money
 - (C) money was never really invented
 - (D) only digital money is used in India
- 8.** The 'double coincidence of wants' problem in barter means:
- (A) two coins are needed for every purchase
 - (B) both traders must be related to each other
 - (C) a trade works only if each person has exactly what the other wants
 - (D) goods must be counted twice over
- 9.** A farmer with wheat wants shoes, but the shoemaker does not want wheat. In barter, this is a problem of:
- (A) inflation
 - (B) no double coincidence of wants
 - (C) portability
 - (D) legal tender
- 10.** Money solves the double-coincidence problem because:
- (A) money makes goods divide themselves
 - (B) money forces people to want wheat
 - (C) money removes the need to trade at all
 - (D) everyone accepts money, so you need not find someone who wants your exact goods
- 11.** 'No common standard measure of value' in barter means it was hard to:
- (A) carry goods from place to place
 - (B) keep goods from rotting
 - (C) split a good into parts
 - (D) agree how much one good was worth in terms of another
- 12.** A 'common standard measure of value' is useful because it:
- (A) gives an agreed worth so the value of different goods can be compared
 - (B) makes all goods weigh the same
 - (C) forces everyone to want the same thing
 - (D) turns goods into shells
- 13.** 'Divisibility' of money means it can be:
- (A) split into smaller parts for small purchases
 - (B) carried easily in a pocket
 - (C) stored for many years
 - (D) declared legal tender
- 14.** 'Portability' of money means it is:
- (A) able to last a long time
 - (B) easy to carry from place to place
 - (C) splittable into halves
 - (D) backed by the government
- 15.** 'Durability' of money means it:

- (A) lasts a long time and can be stored (B) can be split into tiny parts
(C) is easy to carry (D) is always made of gold

16. A live ox is a poor 'money' mainly because it is:

- (A) too easy to split into change (B) hard to divide, carry and store
(C) too light to be valuable (D) accepted everywhere as legal tender

17. 'Money' is best defined as:

- (A) any object that is made of metal (B) only notes printed on paper
(C) the common tool everyone accepts to make or receive payments for goods and services
(D) goods swapped directly for other goods

18. Money came into existence mainly to:

- (A) make barter work better without changing it
(B) replace all trade with gifts (C) end the need for any goods
(D) solve the problems of the barter system

19. The claim 'money has always existed' is wrong because:

- (A) barter came first, and money was invented later to solve barter's problems
(B) money is older than barter (C) coins existed before people did
(D) money and barter began on the very same day

20. Using money to buy bread is money acting as a:

- (A) store of value (B) medium of exchange
(C) standard of deferred payment (D) common measure of value only

21. Saving money to use next year is money acting as a:

- (A) medium of exchange (B) common measure of value
(C) store of value (D) double coincidence of wants

22. Pricing a bicycle at 5,000 rupees so its worth can be compared with other goods uses money as a:

- (A) store of value (B) standard of deferred payment
(C) medium of exchange (D) common measure of value

23. Agreeing to repay a loan of 1,000 rupees next month uses money as a:

- (A) medium of exchange (B) common measure of value
(C) store of value (D) standard of deferred payment

24. Which list correctly names the four functions of money?

- (A) barter, commodity, coin, note (B) cowrie, salt, cattle, cloth
(C) medium of exchange, store of value, measure of value, standard of deferred payment
(D) divisibility, portability, durability, double coincidence

- 25.** Money is more useful than an ox as a 'store of value' chiefly because money:
- (A) does not sicken or rot and can be kept and divided easily
 - (B) can be eaten in hard times
 - (C) grows larger over the years
 - (D) can pull a plough
- 26.** The ancient Indian coins called 'karshapanas' carried small stamped marks known as:
- (A) QR codes
 - (B) bank logos
 - (C) rupa symbols
 - (D) paper watermarks
- 27.** The English word 'rupee' comes from the Sanskrit 'rupya', meaning:
- (A) 'paper note'
 - (B) 'wrought (stamped) silver'
 - (C) 'cowrie shell'
 - (D) 'quick response'
- 28.** The very first coins in India were made of:
- (A) printed paper
 - (B) plastic cards
 - (C) coloured shells only
 - (D) metal, such as silver, stamped with symbols
- 29.** 'Minting' refers to:
- (A) spending money quickly
 - (B) the process of producing coins
 - (C) the rise in prices over time
 - (D) carrying coins in a pocket
- 30.** Coins are often made of an 'alloy' because an alloy:
- (A) combines metals to make the coin strong and durable
 - (B) makes the coin worth its weight in gold
 - (C) lets the coin be eaten
 - (D) turns the coin into paper
- 31.** The two faces of a coin are called the:
- (A) obverse and reverse
 - (B) medium and store
 - (C) barter and money
 - (D) rupa and karshapana
- 32.** On a coin, the 'obverse' is the:
- (A) back side, the 'tails'
 - (B) edge of the coin
 - (C) hole in the centre
 - (D) main side, the 'heads'
- 33.** 'Numismatics' is the:
- (A) process of printing notes
 - (B) system of barter exchange
 - (C) study of coins, paper money and the history they reveal
 - (D) rise of prices over time
- 34.** A historian who studies old coins to learn about ancient kings is practising:
- (A) minting
 - (B) bartering
 - (C) inflation control
 - (D) numismatics
- 35.** Paper money was first used in:

- (A) India
- (B) ancient Rome
- (C) Britain
- (D) China

36. Paper currency was brought to India in the:

- (A) ancient Vedic period
- (B) Gupta era
- (C) late 18th century
- (D) year 1950

37. Today, paper currency in India is issued only by the:

- (A) local shopkeepers
- (B) each state separately
- (C) United Nations
- (D) Reserve Bank of India

38. Why can a 500-rupee note buy goods even though the paper itself is cheap?

- (A) because the paper is made of precious metal
- (B) because the ink is worth 500 rupees
- (C) because everyone accepts it and the Reserve Bank of India backs it
- (D) because the note can be eaten

39. The claim 'a note is valuable because the paper is precious' is wrong because modern money rests on:

- (A) the gold content of the paper
- (B) trust and government backing, not the worth of the material
- (C) the weight of the note
- (D) the colour of the ink

40. 'Fiat money' is money that has value because:

- (A) the government declares it legal tender and people trust it
- (B) it is made of precious metal
- (C) it can be bartered for cattle
- (D) it is printed on gold leaf

41. 'Legal tender' is money that:

- (A) can be refused by anyone at any time
- (B) is only valid abroad
- (C) must, by law, be accepted to settle a payment within a country
- (D) is made only of gold

42. The claim 'to be real money, a coin must be made of gold or silver' is wrong because:

- (A) all modern coins really are solid gold
- (B) modern coins and notes are fiat money, valuable through trust and legal-tender status
- (C) money cannot exist without precious metal
- (D) only barter is real

43. Early coins differed from modern coins mainly in that early coins:

- (A) were fiat money, while modern coins are precious metal
- (B) were valuable for their precious metal, while modern money is fiat money based on trust

- (C) were digital, while modern coins are physical
- (D) were never accepted in trade

44. Fiat money works smoothly only as long as:

- (A) it is made of more and more gold
- (B) barter is completely banned
- (C) people trust it and the government keeps it as legal tender
- (D) prices never change at all

45. 'Inflation' is:

- (A) a general rise in prices over time, so each rupee buys a little less
- (B) a fall in prices, so each rupee buys more
- (C) the making of new coins
- (D) the study of old money

46. If a chocolate that cost 10 rupees last year costs 12 rupees this year, this is an example of:

- (A) barter
- (B) deflation to zero
- (C) double coincidence of wants
- (D) inflation

47. Inflation matters because, over time, the same amount of money:

- (A) buys fewer goods than before
- (B) buys more goods than before
- (C) turns into gold
- (D) becomes illegal tender

48. 'Digital money' is:

- (A) coins made of a new shiny metal
- (B) paper notes printed in colour
- (C) cowrie shells used online
- (D) money in electronic form, transferred between bank accounts without being touched

49. A 'QR code' used for payments is a:

- (A) coin stamped with a king's face
- (B) precious metal disc
- (C) pattern of black and white squares holding the receiver's bank-account information
- (D) paper cheque

50. The claim 'UPI is a completely different kind of money from rupees' is wrong because UPI:

- (A) creates a brand-new currency each time
- (B) replaces rupees with gold
- (C) is a form of barter
- (D) simply moves the same rupees electronically between bank accounts

51. Paying for vegetables by scanning a shop's QR code with a phone is an example of:

- (A) digital money transferring rupees between accounts
- (B) barter, since no cash is touched
- (C) minting new coins
- (D) printing new notes

52. Digital payments like UPI and cards are best described as a new:

- 53.** Which sequence shows the evolution of money in correct order (earliest first)?
- (A) digital money, then paper, then coins, then barter
(B) metal coins, then barter, then digital, then paper
(C) barter, then commodity money, then metal coins, then paper currency, then digital money
(D) paper currency, then barter, then digital, then coins
- 54.** Commodity money (like cowrie shells) came _____ metal coins.
- (A) after (B) before
(C) at the same time as (D) instead of, replacing them forever
- 55.** Compared with barter, the invention of coins made trade easier mainly by providing:
- (A) bigger animals to trade (B) a way to avoid all transactions
(C) a portable, divisible, durable and widely accepted measure of value
(D) a return to swapping goods for goods
- 56.** The overall story of money is best summed up as a move from:
- (A) trusted money back to pure barter (B) gold coins to cowrie shells
(C) swapping goods directly toward more convenient, widely trusted tools of exchange
(D) digital payments to stone discs
- 57.** A 'transaction' is:
- (A) the study of old coins
(B) a piece of business between people, especially buying or selling
(C) a rise in prices (D) a metal alloy
- 58.** 'Currency' and 'denomination' differ in that currency is the _____ while a denomination is a _____.
- (A) specific unit like 10 rupees ... whole system of money
(B) system of money used in a country ... specific unit like 10 or 100 rupees
(C) study of coins ... rise in prices (D) rise in prices ... study of coins
- 59.** Which pairing of money form and feature is correct?
- (A) paper money was first used in India; 'rupee' is a Greek word for 'coin'
(B) paper money was first used in China; 'rupee' is from Sanskrit 'rupya'
(C) digital money is older than barter (D) coins were invented before barter
- 60.** A student says, 'Money is valuable only if it is made of gold, and UPI is a brand-new currency.' The best correction is:

- (A) modern money is fiat money valued by trust, and UPI just moves the same rupees electronically
- (B) money must be gold, and UPI is indeed a new currency
- (C) money is worthless, and UPI is barter(D) only barter has any value

Solutions — Social Science (Class 7), Chapter 11: From Barter to Money

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	D	11	D	21	C	31	A	41	C	51	A
2	A	12	A	22	D	32	D	42	B	52	C
3	A	13	A	23	D	33	C	43	B	53	C
4	B	14	B	24	C	34	D	44	C	54	B
5	D	15	A	25	A	35	D	45	A	55	C
6	A	16	B	26	C	36	C	46	D	56	C
7	B	17	C	27	B	37	D	47	A	57	B
8	C	18	D	28	D	38	C	48	D	58	B
9	B	19	A	29	B	39	B	49	C	59	B
10	D	20	B	30	A	40	A	50	D	60	A

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

- (D)** Barter is the direct swap of goods or services for other goods or services, with no money. Using coins, cards or bank accounts all involve money, so none is barter.
- (A)** Swapping a pencil for an eraser, with no money, is barter. Paying rupees, using UPI, or saving money all involve money, so they are not barter.
- (A)** Barter means no money is used - goods for goods. The moment money is the medium it is no longer barter, so shopping with money, modern shops and net banking are not barter.
- (B)** Commodities like cowrie shells, salt, cattle and cloth acted as money before coins. Cards, notes and UPI are far later inventions.
- (D)** Giant stone discs served as money in one society, showing how varied early 'money' was. They were not law tablets, cart wheels, or weapons.
- (A)** Commodities are tradable goods. Gold coins are one kind of money, digital payments are a transfer method, and the study of coins is numismatics.

- 7. (B)** The Junbeel Mela shows barter surviving in pockets even now. It does not prove barter is gone, that money was never invented, or that only digital money exists.
- 8. (C)** Barter needs a double coincidence of wants - each must have what the other wants and want what the other has. It is not about two coins, kinship, or double-counting.
- 9. (B)** The trade fails because there is no double coincidence of wants - the shoemaker doesn't want wheat. Inflation, portability and legal tender are different issues.
- 10. (D)** Since everyone accepts money, you can sell to anyone and buy from anyone without matching exact wants. It does not magically divide goods, force wants, or end trade.
- 11. (D)** Without a common measure, comparing the worth of an ox and bags of wheat was hard. Carrying, spoiling and splitting are the separate portability, durability and divisibility problems.
- 12. (A)** A common measure lets people compare values on one agreed scale. It does not equalise weights, force shared wants, or change goods into shells.
- 13. (A)** Divisibility is being splittable into parts. Easy carrying is portability, lasting is durability, and being legally accepted is legal tender.
- 14. (B)** Portability is being easy to carry. Lasting is durability, splitting is divisibility, and government backing is fiat or legal tender.
- 15. (A)** Durability is lasting and being storable. Splitting is divisibility, easy carrying is portability, and money need not be gold.
- 16. (B)** An ox can't be split for small purchases, is hard to carry, and may sicken or die - failing divisibility, portability and durability. It is not easy to split, weightless, or legal tender.
- 17. (C)** Money is the commonly accepted tool for payments. It need not be metal, is not only paper notes, and direct goods-for-goods swapping is barter, not money.
- 18. (D)** Money was invented to overcome barter's problems (double coincidence, no common measure, poor divisibility, portability and durability). It replaced barter rather than merely improving it, and did not end trade or goods.
- 19. (A)** Barter, swapping goods for goods, came first; money was invented afterwards. So money is not older than barter, did not predate people, and did not begin alongside barter.
- 20. (B)** Spending money to buy goods is its medium-of-exchange function. Saving it is store of value, paying later is deferred payment, and pricing goods is the measure function.

- 21. (C)** Keeping money for future use is the store-of-value function. Spending it is medium of exchange, pricing is measure of value, and double coincidence is a barter problem.
- 22. (D)** Expressing worth in rupees so goods can be compared is the measure-of-value function. Saving is store of value, paying later is deferred payment, and buying is medium of exchange.
- 23. (D)** Settling future debts in money is the standard-of-deferred-payment function. Buying now is medium of exchange, pricing is measure of value, and saving is store of value.
- 24. (C)** Money's four functions are medium of exchange, store of value, measure of value and standard of deferred payment. The other lists name forms of money, commodities, or barter problems.
- 25. (A)** Unlike a living ox, money does not die or rot and is easy to store and split, making it a better store of value. It cannot be eaten, does not grow, and cannot plough.
- 26. (C)** Karshapanas bore stamped 'rupa' symbols. QR codes, bank logos and watermarks are features of much later money.
- 27. (B)** Rupee derives from rupya, 'wrought (stamped) silver'. It is not from paper, shells, or 'quick response' (which is QR).
- 28. (D)** Early Indian coins were stamped metal like silver. Paper, plastic cards and shells alone came at other points in the story.
- 29. (B)** Minting is making coins (a mint is the facility). Spending is not minting, rising prices are inflation, and carrying is portability.
- 30. (A)** An alloy mixes metals to give coins strength and durability. It does not guarantee gold value, make coins edible, or turn them to paper.
- 31. (A)** A coin's faces are the obverse ('heads') and reverse ('tails'). The other pairs name money functions, exchange types, or ancient coin terms.
- 32. (D)** The obverse is the main 'heads' side; the reverse is the 'tails' back. The edge and any central hole are not the obverse.
- 33. (C)** Numismatics (Greek nomisma, 'coin') is the study of coins and currency and their history. Printing notes, barter and inflation are different things.
- 34. (D)** Studying coins for history is numismatics. Minting is making coins, bartering is swapping goods, and inflation control is economic policy.

35. (D) Paper currency was first used in China. It reached India only in the late 18th century; Rome and Britain were not its origin.

36. (C) Paper money came to India in the late 18th century. It did not exist in Vedic or Gupta times, and 1950 is the year the Constitution took effect.

37. (D) Only the Reserve Bank of India issues India's paper currency. Shopkeepers, individual states and the UN do not.

38. (C) A note's value rests on universal acceptance and RBI backing - trust, not the material. The paper is not precious, the ink is not worth 500 rupees, and notes are not food.

39. (B) Modern money is valuable because people trust it and the government backs it, not because of the material. Paper has no gold, and weight and colour do not set value.

40. (A) Fiat money (Latin fiat, 'let it be done') is valuable because the government makes it legal tender and people trust it, not because the material is precious.

41. (C) Legal tender must legally be accepted for payments in a country. It cannot be freely refused, is not abroad-only, and need not be gold.

42. (B) Modern money is fiat - its value comes from trust and legal-tender status, not precious metal. Coins are not solid gold, money needs no precious metal, and barter is not the only 'real' exchange.

43. (B) Early coins held value through their precious metal; modern money is fiat, resting on trust and legal-tender status. The reversal, the digital claim and the 'never accepted' claim are all wrong.

44. (C) Fiat money depends on continued trust and legal-tender status. It does not rely on gold content, a barter ban, or unchanging prices.

45. (A) Inflation (Latin inflare, 'to inflate') is a general rise in prices, reducing each rupee's buying power. Falling prices, minting and numismatics are different.

46. (D) A general rise in price over time is inflation. It is not barter, a fall to zero, or a barter-matching problem.

47. (A) Under inflation each rupee buys less, so the same money buys fewer goods. It does not buy more, become gold, or lose legal-tender status.

48. (D) Digital money is intangible, electronic money moved between accounts. It is not a new metal coin, a paper note, or shells.

- 49. (C)** A QR ('quick-response') code is a scannable square pattern carrying the receiver's account details. It is not a coin, a metal disc, or a cheque.
- 50. (D)** UPI, cards and QR payments move the same rupees electronically - only the transfer method changes, not the money. No new currency is created, no gold replaces rupees, and it is not barter.
- 51. (A)** A QR payment moves rupees electronically - digital money. It is not barter (money is used), nor minting or printing.
- 52. (C)** Digital payments change how money moves, not what the money is - the rupees are the same. They are not a new currency, barter, or commodity money.
- 53. (C)** Money evolved from barter to commodity money to metal coins to paper currency to digital money. The other orders scramble this timeline.
- 54. (B)** Commodity money preceded metal coins in the evolution of money. It did not come after, alongside, or permanently replace coins.
- 55. (C)** Coins gave a portable, divisible, durable, accepted measure - fixing barter's flaws. They did not provide bigger animals, end transactions, or revive barter.
- 56. (C)** Money evolved from direct barter toward ever more convenient, trusted means of exchange (coins, paper, digital). The other options reverse the direction of this evolution.
- 57. (B)** A transaction is an act of business such as buying or selling. The study of coins is numismatics, rising prices is inflation, and an alloy is a metal mixture.
- 58. (B)** Currency is a country's money system; a denomination is a specific unit such as 10 or 100 rupees. The other options reverse or confuse these.
- 59. (B)** Paper money began in China and 'rupee' comes from rupya. Paper money did not start in India, 'rupee' is not Greek, digital money is recent, and coins came after barter.
- 60. (A)** Modern money is fiat - valued by trust and legal-tender status, not gold - and UPI merely transfers the same rupees electronically. The other options repeat or compound the misconceptions.